

Covering All Bases

Insurance is the seventh most profitable sector in the *BT500* list despite thin margins and limited number of listed players. Technology adoption and product innovation may keep it buzzing over the next few years

BY ANAND ADHIKARI

Key Trends

+ Lower leverage, higher claims, limited product suite, and modest investment yields keep margins lower than in banking

+ LIC leads by focusing on participating products with long-term guaranteed returns, term insurance and unit-linked plans that offer higher margins

+ Non-life (general insurance) and health insurance segments have underperformed life insurance in profitability

+ Health insurance is the fastest-growing segment. The country now has over half-a-dozen standalone health insurers but it's tough to achieve profitability

+ Some new-age players have attracted significant financial capital on promise of digital disruption



IF CHINESE PRIVATE sector insurance giant Ping An Insurance were a bank, its \$158 billion revenue would place it alongside UK banking giant HSBC and Spain's Santander, and ahead of Royal Bank of Canada. Though it matches investment banking giant Goldman Sachs with assets of \$1.77 trillion, its \$17.6 billion profit is well below HSBC's \$22.97 billion and other banks with similar scale. This explains the nature of the insurance business—lower leverage, higher claims, limited product suite, and modest investment yields, all of which keep margins lower than in banking.

In India, things are no different. Despite this, insurance was the seventh-most profitable sector in FY25, with profits of listed players rising 16% to ₹65,255 crore. The biggest, LIC, outshined at the 6th spot in the *BT500* list, though its annual profits were lower than ICICI Bank's and only half the country's largest bank, State Bank of India. These challenges, and the fact that India has less than a dozen listed insurers, is reflected in contribution of the insurance sector to *BT500*, which was just 3.93%. Experts, though, say this is likely to rise if insurers can keep up the kind of growth they reported in FY25.

NO GROWTH BLUES

New-age insurer Go Digit General Insurance, backed by Canada-based Fairfax Group led by Prem Watsa, posted an impressive 133% growth in net profit to ₹425 crore, driven by better returns on assets under management. ICICI Prudential Life Insurance recorded a 39.4% increase to ₹1,186 crore, supported by higher investment income. ICICI Lombard General Insurance also delivered a strong performance, with profits rising 30.7% to ₹2,508 crore, supported by higher premium income from retail segments. Star Health and Allied Insurance disappointed with a 23.6% drop in net profit to ₹646 crore, mainly due to higher claims and margin pressure. State-owned New India As-